

When Julie was contemplating filing for bankruptcy, either option Julie had to choose from presented its own negatives. To avoid bankruptcy, she would have had to scale down her lifestyle considerably in order to pay off her debts. She might have been forced to get an extra job. This alternative was undesirable since it involved giving things up or working more. On the other hand, if she chose bankruptcy, this decision would have left a negative legacy for ten years. There was no easy way out; it was just a matter of choice.

In the end, both routes would have resulted in the debts going away. The difference was in the memory of her decision. Which choice would she have been better able to live with: the decision to take responsibility and pay off her debts or the decision to avoid them and have the creditors write off the loss?

Words of Wisdom

Those who argue that people who file bankruptcy have learned a painful lesson and will not repeat it will be dismayed by the reality. In fact, the few studies done so far, according to the American Bankruptcy Institute, show that repeat filings vary widely by court district and type of filing, ranging from a low of 1 percent to more than 20 percent. These statistics are not surprising since without a change in habits, there can be no guarantee of a change in results. A bankruptcy can be like having someone else take an exam for you. You may end up passing the class, but did you learn anything?

Since the repercussions of filing a bankruptcy can be severe and long lasting, it only makes sense to explore other options prior to filing bankruptcy. If a bankruptcy is inevitable, make sure you learn from this experience and analyze the circumstances that led to this occurrence. The only thing worse than making a mistake is not learning from your mistake and repeating it again.

